

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY
Master of Business Administration (MBA)
SEMESTER - II University Examination 2009-10
MB-740 MARKETING MANAGEMENT

Date: 20.05.2010, Thursday

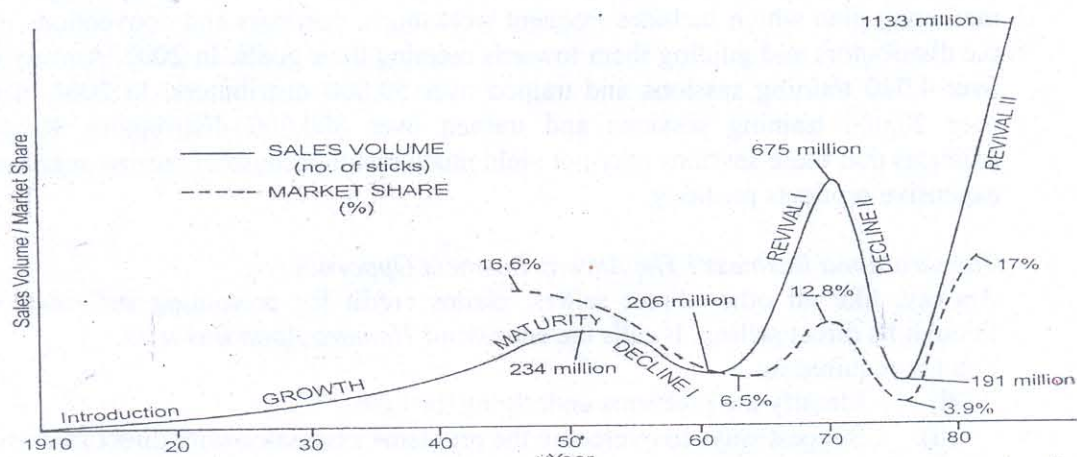
Time: 12:30p.m to 03:30p.m

Maximum Marks: 70

Instructions:

1. This paper contains six questions, of which the last one is the case analysis.
2. All questions are compulsory.
3. Each of the first five questions will carry 10 marks and the last case analysis will carry 20 marks.

- Q.1** "If it's cool, it's gotta be on Zoom, the only TV Channel that give viewers a peek into the lifestyle and mindspace of the glitterati." 10
 With the above mission statement in mind – analyze the Times Group offering with respect to segmenting, target market & audience and positioning.
- Q.2** Explain the various competitive strategies adopted by Indian Premier League (IPL) to thwart its competition. Make necessary assumptions to support your answer. 10
- Q.3** Dolphin Restaurant, San Diego, U.S.A was established recently has been facing lot of customer complaints regarding billing. The management has tried to solve the problem by offering to correct the mistake or providing free ice-creams / dishes, etc. It feels that by doing so it can win or retain customers. Explain the case keeping in mind the service – quality model. 10
- Q.4** Godrej Company offers a wide variety of products to customers. You are required to explain its product assortment and various dimensions of product-mix. 10
- Q.5** The below depicted graph shows the erstwhile Imperial Tobacco Co., today's ITC and its newly introduced product – branded "Scissors" in 1912. The product was against the smoking habits of people which were generally limited to 'Hookah', 'Chillum', 'Cigar' and 'Beedi' and some forms of tobacco. The company's offering was itself uniquely positioned. It was promoted as a generic product. For some years ITC enjoyed monopoly in the market which was challenged in 1940's by one of its competing brand 'Panama' – targeted at lower price than Scissors. The Panama brand was offered with new and attractive packing style and effected other changes too. 10



You are required to explain the graph and consequently draw strategies for the firm's revival as depicted from time to time and justify the same

Case Analysis:*Entry/Consolidation*

Amway entered India with a 100 per cent subsidiary, Amway India Enterprises, in 1995 and started commercial operations in 1998. It started with three product lines-home care products, personal products and laundry products. Soon, nutrition and cosmetic products were added. Amway India offers more than 25 of its world-class products.

Amway gets its products manufactured by three SSI units in the country. Overall, Amway has invested more than \$ 35 million (Rs.151 crore) in India. Of this, about \$ 6 million (Rs.30 crore) is in the form of direct foreign investment, which has been invested in the three SSI units. In the three years of its operations in India since 1998, Amway has emerged as India's leading direct selling company. Its sales have rapidly increased. In 1999, these were around Rs.100 crore, going up to Rs. 250 crore in 2000 and to Rs.500 crore in 2001. Amway India plans to achieve a sales turnover of Rs 1,000 crore by 2004.

Distribution/Selling

The products are delivered to its distributors across 360 locations through offices in 53 centers, manned by 180 full-time employees. The products are backed by a customer satisfaction-cum-money back-guarantee.

Multi-level marketing/Network marketing

Amway practices what is known as the multi-level marketing/network marketing model, in which each distributor is encouraged to bring in other distributors, so that the number of people selling the product keeps on increasing.

Amway has created *Network 21* for marketing its products. The selected sales person becomes an independent business owner of *Network 21* by investing as little as Rs.4,200. She gets a kit containing Amway products. She uses the products, spreads the good word about them among friends and ropes them into the *Network*.

Amway recruited more than 34,000 sales persons-cum-distributors in the very first year of its operations. The number of distributors now runs into over 2,00,000. It provides on an average, a mark-up of 34 per cent to the sales persons-cum-distributors. The big income for them comes from the *Network* arrangement. Reaching the highest level - a Diamond-means collecting a minimum of Rs.33 lakh per annum.

Training

However, on account of changing consumer belief patterns, Amway has adopted regourous marketing plan which includes frequent workshops, seminars and conventions for training the distributors and guiding them towards meeting their goals. In 2000, Amway conducted over 4,000 training sessions and trained over 50,000 distributors. In 2001, it conducted over 20,000 training sessions and trained over 300,000 distributors. Recent survey indicates that these sessions may not yield much result because of narrow segmentation and expensive products profiling.

'Hamara Apna Business'! The Amway Business Opportunity

Amway, like all other direct sellers, claims credit for promoting individual enterprise through its direct selling. It calls the endeavour *Hamara Apna Business*

You are required to:

- (i) Identify the problems underlying the case.
- (ii) Suggest ways to overcome the problems associated with direct marketing.